

EXHIBIT 1
PROPOSED THIRD AMENDED COMPLAINT (LODGED)
Case No. CGC-25-631802

Franciscus Dylan Rosario,
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Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA
COUNTY OF SAN FRANCISCO**

Franciscus Dylan Rosario,
PLAINTIFF,

v.

CSAA Insurance Exchange;
and DOES 1 through 50, inclusive;

DEFENDANTS

Case No.: CGC-25-631802

Dept.: 302

Tel.: 650.488.7510

Action filed: April 28, 2026

**Filed pursuant to order granting leave
dated TBD (Code Civ. Proc. §§ 472a, 473).**

THIRD AMENDED COMPLAINT FOR:

(1) Fraud — Intentional Misrepresentation and
Concealment;

(2) Fraud — Concealment / Half-Truth;

(3) Violation of Bus. & Prof. Code § 17200;

(4) Negligent Misrepresentation;

(5) Declaratory Relief

**(Reckless-Disregard Scienter Anchor;
Verified)**

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SECTION 0: RECKLESS DISREGARD FOR THE TRUTH, SCIENTER FLOOR

§0.1, CALIFORNIA RECOGNIZES RECKLESS DISREGARD FOR THE TRUTH AS THE EQUIVALENT OF FRAUDULENT INTENT

0.1. The California Supreme Court has repeatedly held that “reckless disregard of facts is the legal equivalent of fraudulent intent.” A positive assertion of fact, made by one who has no reasonable basis for believing it true and who is conscious of the absence of reasonable basis, is fraudulent in law regardless of whether the speaker possessed subjective awareness of the falsity. The five-authority Tier-1 block governing this scienter floor is:

- (a) *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974 (quoting *Yellow Creek Logging Corp. v. Dare* (1963) 216 Cal.App.2d 50, 55). “[F]alse representations made

recklessly and without regard for their truth in order to induce action by another are the equivalent of misrepresentations knowingly and intentionally uttered.” The Court further confirms, at *Engalla*, 15 Cal.4th at p. 975, that “at least a reckless indifference” to truth or falsity is the operative scienter floor. (See also *Gagne v. Bertran* (1954) 43 Cal.2d 481, 487–488 (positive assertion without sufficient information “deemed to have been made fraudulently”).)

(b) *In re Marriage of Modnick* (1983) 33 Cal.3d 897, 905–907. Concealment that operates as a denial of the existence of evidence is extrinsic-fraud doctrine; the “broad concept” formulation reaches reckless concealment as well as knowing concealment.

(c) *Estate of Sanders* (1985) 40 Cal.3d 607, 614–616. A fiduciary breach by an officer of the court that “effectively prevented” a fair adversary hearing is extrinsic fraud; the breach is measured **objectively**, by what the officer’s duty of candor required, not subjectively. The same objective measurement applies to an institutional principal’s claim-handling representations under *Wilson*, *infra*.

(d) *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408. Negligent misrepresentation under Civil Code § 1710(2) requires only that the speaker have “no reasonable ground for believing it to be true.” Where the speaker is conscious of the absence of reasonable ground, the conduct ladders into intentional misrepresentation under Civil Code § 1710(1).

(e) *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721. The Cal. Sup. Ct. confirms that an institutional actor’s failure to thoroughly and fairly investigate, in the face of inquiry notice, is itself probative of reckless disregard and is the textbook willful-blindness pattern within the meaning of Civil Code § 3294 and *Engalla* (cited *supra* at § 0.1(a)). (See also *Mock v. Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328 (deliberate-avoidance pattern as malice under § 3294).)

(f) **CACI 1907** (concealment) and **CACI 1903** (intentional misrepresentation) confirm that recklessness as to truth or falsity is the operative scienter floor for both intentional misrepresentation and concealment under California law.

§0.2, APPLICATION TO THE FEBRUARY 25, 2021 “CONCLUDED INVESTIGATION” REPRESENTATION

0.2. CSAA’s February 25, 2021 representation to Plaintiff that its investigation was “concluded” and that CSAA had “carefully reviewed the facts and circumstances of [the] claim” was made under each of the five reckless-disregard markers established by the foregoing authorities:

(a) Existence on the face of the SFPD Incident Report. The SFPD Incident Report (Report No. 210083458, conformed to proof) that CSAA possessed before issuing the February 25, 2021 denial referenced, on its face, the existence of the body-worn camera (“BWC”) footage, the 911 audio, and the Computer-Aided Dispatch (“CAD”) log. Inquiry notice was therefore on the file. *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (Cal. Sup. Ct.: insurer’s duty triggered by inquiry-notice indicia in the file); *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819 (Cal. Sup. Ct.: affirmative-investigation duty).

(b) Reasonable availability under regulatory and procedural law. Each of the four foundational first-responder records (the “Silent Witnesses”), namely, (i) the 911 audio recording and the corresponding SFDEM CAD event record, (ii) the SFPD body-worn camera footage, (iii) the SFPD CAD log, and (iv) any supplemental SFPD report relating to the February 4, 2021 collision, was reasonably available to CSAA on or before February 25, 2021, by routine subpoena duces tecum (Code Civ. Proc. § 1985 + Evid. Code § 1560), Public Records Act request (Gov. Code § 7920 et seq.), Penal Code § 832.7(b) request, or insured-authorization channel. The regulatory floor at **10 CCR § 2695.7(d)** (“decision must be based on all information reasonably available”) is congruent with this reasonable-availability standard.

(c) Industry custom, California liability carriers retrieve these materials in MV/PED claims. California liability carriers routinely retrieve police reports, 911 audio, BWC footage, and CAD logs in motor-vehicle / pedestrian claims as a matter of customary industry practice. The objective baseline for measuring the reasonableness of an insurer’s investigation, against industry custom and the regulatory minima rather than against the insurer’s subjective belief, is grounded in *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819, and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (both Cal. Sup. Ct.).

1 **(d) Volitional file-closing act.** CSAA did not merely fail to investigate. CSAA **affirmatively**
2 **closed the claim file at twenty-one days and affirmatively communicated** a “concluded investi-
3 gation” representation to Plaintiff, an unrepresented direct third-party claimant. Under Civil Code
4 § 3294, *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819, and *Wilson v. 21st*
5 *Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721, that affirmative closing-the-file conduct, in the
6 face of inquiry notice that the Silent Witnesses existed and were reasonably available, constitutes
7 deliberate avoidance, the “ostrich” / willful-blindness pattern that California treats as malice under
8 Civil Code § 3294 and as the legal equivalent of fraudulent intent under *Engalla* (see also *Mock v.*
9 *Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328).

10 **(e) Pattern evidence, institutional “deny-delay-defend.”** The institutional “deny-delay-defend”
11 practice alleged at ¶¶ 28–30 below confirms that CSAA’s lack of reasonable basis on this claim was
12 structural, not idiosyncratic. Pattern evidence is itself a recognized indicium of reckless disregard.
13 *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721.

14 **§0.3, THE RECKLESS-DISREGARD FINDING FEEDS EVERY CAUSE** 15 **OF ACTION IN THIS COMPLAINT**

16 0.3. The reckless-disregard showing in §§ 0.1–0.2 above feeds every cause of action pleaded in
17 this complaint without modification of the underlying factual allegations:

18 (a) **First Cause of Action (Fraud, Intentional Omission).** Reckless disregard satisfies the
19 scienter element of intentional misrepresentation under Civil Code § 1710(1). *Engalla*, 15
20 Cal.4th at 974 (see also *Gagne v. Bertran* (1954) 43 Cal.2d 481, 487–488); CACI 1900–
21 1907.

22 (b) **Second Cause of Action (Concealment / Half-Truth).** Reckless disregard satisfies the sci-
23 enter element of concealment under Civil Code § 1710(3) where the speaker has no reasonable
24 basis to believe that the subject of the half-truth is complete. CACI 1901.

25 (c) **Third Cause of Action (UCL § 17200).** Reckless misstatement satisfies the “fraudulent”
26 prong under the *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.*
27 (1999) 20 Cal.4th 163, 187 (Cal. Sup. Ct.) tethering rule (see also *Williams v. Gerber*
28 *Products Co.* (9th Cir. 2008) 552 F.3d 934, 938 (reasonable-consumer test)), and supplies

an “unlawful” predicate where the regulatory standards at 10 CCR § 2695.7(b)/(d)/(g) and Insurance Code § 790.03(h)(1)/(3)/(5) prohibit unreasonable claims-handling practices.

(d) **Fourth Cause of Action (Negligent Misrepresentation, newly added).** “No reasonable ground for believing the representation true” under Civil Code § 1710(2) is the floor; reckless disregard ladders the negligent-misrepresentation count into the intentional tier without disturbing its viability as a no-scienter-floor fallback.

(e) **Fifth Cause of Action (Declaratory Relief, Code of Civil Procedure § 1060).** Declaratory relief fixes rights and duties in an actual controversy concerning the claim-handling record and supplies prospective preclusive effect across related proceedings. *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 904; *Lucido v. Superior Court* (1990) 51 Cal.3d 335, 341.

(f) **Punitive damages, Civil Code § 3294.** Reckless disregard satisfies § 3294(c)(1) malice (“willful and conscious disregard of the rights or safety of others”) and § 3294(c)(3) fraud (“intentional misrepresentation, deceit, or concealment”) via the *Mock* willful-blindness pathway.

(g) **Anti-SLAPP carve-out.** Reckless tribunal-directed misrepresentation by an officer of the court is illegal as a matter of law within the meaning of Business and Professions Code § 6128(a) and *Flatley v. Mauro* (2006) 39 Cal.4th 299, 317–321. While § 6128(a) is the operational hook in CGC-25-631801 (the companion equity action), the same illegality framework anchors the *Flatley* anti-SLAPP carve-out at ¶ 21A below.

§0.4, RECKLESS DISREGARD IS PLEADED IN THE ALTERNATIVE TO AND NOT IN LIEU OF INTENTIONAL MISREPRESENTATION

0.4. Each cause of action below is pleaded with **knowing falsity** (intentional tier) **and**, in the alternative, with **reckless disregard for the truth** (intentional-equivalent tier under *Engalla*) **and**, in the further alternative, with **no reasonable ground for believing the representation to be true** (negligent tier under § 1710(2) / *Bily*). Plaintiff is entitled to plead in the alternative under Code of Civil Procedure § 431.30(c). The alternative pleading does not concede the absence of subjective knowledge; it forecloses any defense argument that, even if subjective knowledge cannot be proven, the absence of subjective knowledge would defeat liability.

§0.5, CROSS-CASE SPINE (COMPANION CGC-25-631801)

0.5. The reckless-disregard scienter floor pleaded in this action is the same factual spine pleaded in companion case CGC-25-631801. There, Plaintiff alleges that the panel-counsel tribunal-directed disclaimers in 2025 (Position B) were either knowingly false or recklessly indifferent to the truth. Here, Plaintiff alleges that CSAA's February 25, 2021 representation that its investigation was "concluded" (Position A) was either knowingly false or recklessly indifferent to the truth. The two positions cannot both be honest. Both poles are statements of CSAA itself under Civil Code §§ 2330 and 2338 and Evidence Code § 1222. The two cases together establish that, in either direction, the reckless-disregard floor is satisfied; Plaintiff need not elect which pole was knowingly false because both poles are statements of CSAA, and reckless disregard is established by the structural impossibility of honest belief in both. The reckless-disregard spine pleaded here forecloses the "genuine dispute" defense recognized in *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 723, because the genuine-dispute doctrine is unavailable where the insurer fails to thoroughly and fairly investigate. See further ¶ 51A below.

SECTION I: DIRECT-DUTY GRAVAMEN

TITLE 10 CCR DIRECT CLAIMANT OBLIGATIONS

1. This action arises from Defendant CSAA Insurance Exchange's fraudulent, or, in the alternative, recklessly indifferent, handling of Plaintiff's claim as a direct third-party claimant. The actionable wrong is CSAA's non-communicative institutional failure to investigate the claim prior to denying it, and the active concealment of that failure through a denial letter representing the investigation as "concluded", a representation made either with knowing falsity, with reckless disregard for the truth, or, at minimum, without reasonable ground for believing it true within the meaning of Civil Code §§ 1710(1), 1710(2), and 1710(3).
2. On **February 4, 2021**, Plaintiff was involved in a motor-vehicle collision in San Francisco County with CSAA's insured, Subhi Abdelhalim.
3. On **February 25, 2021**, CSAA sent Plaintiff a written denial letter concerning **Claim No. 1004-**

1 **09-1054**, signed by **Sarah Rash, Claims Representative**. The denial letter stated, in pertinent part:

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3 “We have concluded our investigation of your claim. Based on our investigation, and
4 after carefully reviewing the facts and circumstances of your claim, we have concluded
5 that our insured is not liable. . . Our decision is based on the facts currently available.”

- 6 4. This representation was false. At the time of the denial, CSAA had not conducted the thorough investigation required by Title 10 CCR §§ 2695.4 and 2695.7. Per Section 0 above, CSAA had no reasonable basis for asserting that its investigation was “concluded” and acted with reckless disregard for the truth of that assertion.

10 **§I.5, DIRECT-ADDRESSEE THEORY (PRIMARY SHAOLIAN REBUTTAL)**

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12 5. Plaintiff asserts standing as the **direct addressee** of a specific misrepresentation communicated by CSAA to Plaintiff individually. This is not a claim for policy benefits, not a claim for breach of an insurance contract by an insured, and not a third-party bad-faith claim derived from the insured’s contractual relationship with CSAA. It is a common-law fraud / negligent-misrepresentation / unfair-competition claim by the person to whom the representation was made, on whom it was intended to operate, and who suffered individual and direct economic harm as a result.

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18 6. By sending the February 25, 2021 denial letter directly to Plaintiff as an unrepresented adverse claimant, rather than communicating through an insured or counsel, CSAA voluntarily undertook a direct communicative relationship with Plaintiff. That voluntary direct communication, combined with CSAA’s knowledge that Plaintiff was unrepresented and had no independent means to verify the scope of CSAA’s investigation, establishes the direct duty context for common-law fraud, negligent misrepresentation, and unfair-competition liability. *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650; *J’Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804.

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25 6A. **Agency and Ratification Under Civil Code § 2338.** Civil Code § 2338 provides: “Unless required by or under the authority of law to employ that particular agent, a principal is responsible to

1 third persons for the negligence of his agent in the transaction of the business of the agency, includ-
2 ing wrongful acts committed by such agent in and as a part of the transaction of such business, and
3 for his willful omission to fulfill the obligations of the principal.” Under § 2338, CSAA Insurance
4 Exchange is directly liable for the wrongful acts and omissions of Sarah Rash, the claims depart-
5 ment personnel who reviewed and approved the February 25, 2021 denial, and any retained claims
6 professionals or counsel acting within the scope of the claims-handling agency. Plaintiff further
7 alleges that CSAA ratified the February 25, 2021 denial and its underlying non-investigation by
8 (a) failing to correct the denial after the Title 10 CCR §§ 2695.4 and 2695.7 violations became
9 apparent; (b) maintaining the denial position through successive insurance-coverage communica-
10 tions and, later, through litigation defense of its insured; and (c) failing to repudiate the “concluded
11 investigation” representation after the January 17, 2025 / February 18, 2025 / April 16, 2025 record
12 events described in Section VIII. Under *Doctors’ Company v. Superior Court* (1989) 49 Cal.3d 39,
13 an insurer that acts outside the ordinary insurer role by directing, approving, or ratifying wrongful
14 claims-handling conduct may be held directly liable for that conduct. CSAA’s continuing fail-
15 ure to repudiate the “concluded investigation” representation, after each subsequent record event
16 placed the carrier and its panel counsel on notice of the falsity, is itself reckless disregard within
17 the meaning of Section 0 above.

18 **§I.6, GRAVAMEN DISCLAIMER (NON-COMMUNICATIVE INSTITU-** 19 **TIONAL FAILURE)**

20 7. The gravamen of this action is CSAA’s institutional “deny-delay-defend” failure to investi-
21 gate, not the act of writing a denial letter. The February 25, 2021 denial letter is pleaded as
22 **evidence** of the underlying non-communicative failure, not as the sole injury-producing act.

23 8. Among the foundational incident materials CSAA failed to obtain, review, or truthfully ac-
24 count for before the February 25, 2021 denial were the following contemporaneous San
25 Francisco first-responder records (collectively, the “**Silent Witnesses**”), each of which was
26 available from the San Francisco Police Department and/or the San Francisco Department of
27 Emergency Management within days of the February 4, 2021 collision and was obtainable by
28 routine written request under Gov. Code § 6250 et seq. (now Gov. Code §§ 7920.000 et seq.)

and Penal Code § 832.7(b):

- (a) The **911 audio recording** and associated **Computer-Aided Dispatch (CAD)** event record generated on February 4, 2021 in connection with **SFPD Incident Report No. 210083458** (on information and belief; exact SFPD incident and 911-CAD event numbers to be conformed to proof), in which CSAA's insured made statements acknowledging that he struck Plaintiff with his vehicle;
- (b) **Plaintiff's contemporaneous report to 911** emergency services, made on February 4, 2021 from the collision scene, that the driver had struck him; and
- (c) **Body-worn camera (BWC) footage** from the San Francisco Police Department officers who responded to the February 4, 2021 collision scene (responding officers' names and star numbers in the possession of SFPD and available through a routine Penal Code § 832.7(b) / Pitchess-adjacent public-records request), in which a third-party eyewitness (**Justin Rosemond**) independently corroborated that the driver struck Plaintiff.

9. Taken together, these three sources constituted virtually uncontested evidence of liability, confession, victim report, and eyewitness corroboration. CSAA denied a claim supported by all three. Under § 0.2(d) above, the closing-the-file conduct in the face of these reasonably available, identifiable-on-the-face-of-the-police-report materials is reckless disregard for the truth as a matter of law.

UCL STANDING UNDER BUSINESS AND PROFESSIONS CODE § 17200

10. Plaintiff has standing to bring a claim under Business and Professions Code § 17200 et seq. (the Unfair Competition Law) because Plaintiff has suffered injury in fact and has lost money or property as a result of Defendant's unfair, fraudulent, and unlawful business practices.

EXPRESS MORADI-SHALAL CARVE-OUT

11. This action does not assert a private cause of action under Insurance Code § 790.03, which is precluded by *Moradi-Shalal v. Fireman's Fund Insurance Companies* (1988) 46 Cal.3d 287.

12. Instead, Plaintiff asserts:

- (a) **Common-law fraud and deceit** under Civil Code §§ 1709, 1710(1), 1710(3) (intentional and reckless-disregard tiers);

1 (b) **Common-law negligent misrepresentation** under Civil Code § 1710(2) (no-reasonable-
2 ground tier); and

3 (c) **Unfair Competition Law (UCL)** claims under Business and Professions Code § 17200,
4 which permits predicate violations of Insurance Code § 790.03(h) as evidence of “unlawful”
5 conduct.

6 13. Plaintiff’s UCL claim is not barred by *Moradi-Shalal* because the UCL provides an inde-
7 pendent statutory cause of action that may be predicated on violations of Insurance Code §
8 790.03. See *State Farm Fire & Casualty Co. v. Superior Court* (1996) 45 Cal.App.4th 1093,
9 1103–04.

10 13A. **Although Plaintiff, as a third-party claimant, does not assert a private cause of action**
11 **under Insurance Code § 790.03 or for breach of the implied covenant of good faith and fair**
12 **dealing, consistent with the limitations in *Moradi-Shalal v. Fireman’s Fund Ins. Cos.* (1988)**
13 **46 Cal.3d 287**, this action sounds in common-law Negligent Misrepresentation under Civil Code
14 § 1710(2), in common-law Intentional Misrepresentation and Concealment under Civil Code §§
15 1709 and 1710(1)/(3), and in violation of the Unfair Competition Law under Business and Pro-
16 fessions Code § 17200. By issuing a formal written denial predicated on the positive assertion of
17 a “concluded investigation,” CSAA engaged in a voluntary undertaking under *Biakanja v. Irving*
18 (1958) 49 Cal.2d 647, 650, thereby assuming a duty of care to ensure the accuracy of factual repre-
19 sentations made to Plaintiff. Consequently, the regulatory authorities cited in this complaint are not
20 invoked as a direct source of a private right of action; rather, they establish the objective standard
21 of care and the “regulatory floor” governing the adequacy of an insurer’s investigative process.
22 Under the framework of *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819, and
23 *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (both Cal. Sup. Ct.), these
24 regulatory and common-law standards together set the benchmark against which the truthfulness
25 and reasonableness of CSAA’s representations must be measured. CSAA’s liability arises from
26 its affirmative representation that a competent investigation had been performed when, in fact, the
27 insurer possessed no reasonable grounds for believing such an assertion to be true and acted in
28 reckless disregard for the truth of that assertion within the meaning of Section 0 above.

SECTION II: PRE-LITIGATION PRIVILEGE CARVEOUT

DENIAL LETTER AS PRE-LITIGATION COMMUNICATION

14. The February 25, 2021 denial letter was a pre-litigation claim-handling communication, not a litigation communication protected by Civil Code § 47(b).

15. Under *Action Apartment Association, Inc. v. City of Santa Monica* (2007) 41 Cal.4th 1232, 1248–49, the litigation privilege applies only to communications made in judicial or quasi-judicial proceedings. An insurer’s denial of a claim, made in the ordinary course of claims handling, is not a litigation communication.

16. At the time of the February 25, 2021 denial:

- (a) No litigation was pending or contemplated;
- (b) No attorney had been retained by either party;
- (c) The denial was issued in the ordinary course of CSAA’s claims handling process; and
- (d) The denial was issued just 21 days after the collision—before any meaningful investigation could have been completed.

16A. **Action Apartment “Contemplation” Factors, Affirmative Pleading of Each Prong’s Absence.** Under *Action Apartment Ass’n, Inc. v. City of Santa Monica* (2007) 41 Cal.4th 1232, 1248–49, a pre-litigation communication falls within Civil Code § 47(b) only when it is made “in good faith [and] in serious contemplation” of litigation that is “imminently anticipated.” That test has three operative factors, each of which must be affirmatively present at the time of the communication: (i) litigation must be seriously proposed by the communicating party and in good faith contemplated as a meaningful possibility, not a remote or speculative one; (ii) the communication must have some functional connection to that contemplated litigation, e.g., preservation of evidence, a litigation-hold directive, a formal demand, or a tolling communication; and (iii) the communicating party must itself be a contemplated party to that litigation or its authorized representative. Plaintiff affirmatively alleges, as of February 25, 2021, that **none** of the three Action Apartment factors was present in CSAA’s favor: **(a)** no litigation was pending, filed, threatened in writing, or seriously contemplated by CSAA in good faith at the time of the denial letter; **(b)** no

counsel had been retained by CSAA or by Plaintiff in connection with the claim, no attorney had appeared on behalf of either party, and Plaintiff was an unrepresented direct third-party claimant; (c) no pre-suit demand letter had been exchanged, no tolling agreement had been proposed or executed, no litigation-hold or document-preservation letter had been sent, and no litigation reserve had been set by CSAA for the claim as a litigation matter (as opposed to a routine claims reserve). Because each Action Apartment factor fails, Civil Code § 47(b) does not attach to the February 25, 2021 denial.

RIBAS DISTINCTION, FRAUD, NOT IIED

17. To the extent Defendant cites *Ribas v. Clark* (1985) 38 Cal.3d 355 for a bar on emotional distress claims against insurers, Plaintiff notes that *Ribas* addresses intentional infliction of emotional distress (IIED) claims, not fraud or negligent-misrepresentation claims.

18. Plaintiff does not assert a standalone IIED cause of action. Emotional distress damages are sought only as parasitic damages accompanying the fraud and negligent-misrepresentation torts.

19. *Ribas* does not bar fraud or negligent-misrepresentation claims where, as here, the gravamen is the misrepresentation of investigative completeness, not outrageous conduct intended to cause emotional distress.

NON-COMMUNICATIVE CONDUCT, FAILURE TO INVESTIGATE

20. Defendant's failure to obtain and review foundational incident records constitutes non-communicative conduct that is not protected by Civil Code § 47(b):

(a) **911 Audio:** Defendant failed to obtain the 911 call recording containing the driver's own acknowledgment;

(b) **Body-Worn Camera Footage:** Defendant failed to obtain police BWC footage containing independent eyewitness corroboration;

(c) **CAD Records:** Defendant failed to obtain Computer-Aided Dispatch records documenting the emergency response.

21. This failure to investigate is non-communicative because it consists of omissions and failures to act, not statements or publications. *Rusheen v. Cohen* (2006) 37 Cal.4th 1048 (privilege

1 does not apply to non-communicative conduct).

2 21A. **Flatley Illegality Carve-Out to Anti-SLAPP.** Independently of the Action Apartment pre-
3 litigation analysis above, Defendants are precluded from using the anti-SLAPP statute (Code of
4 Civil Procedure § 425.16) to strike this action. *Flatley v. Mauro* (2006) 39 Cal.4th 299, 317–321,
5 holds that where conduct is illegal as a matter of law, it is categorically outside the protection of
6 the anti-SLAPP statute. Under *Shafer v. Berger, Kahn, Shafton, Moss, Figler, Simon & Gladstone*
7 (2003) 107 Cal.App.4th 54, 79–80, reckless disregard for the truth satisfies the “deceit or collu-
8 sion” element of Business and Professions Code section 6128(a), a misdemeanor. To the extent the
9 February 25, 2021 denial letter constituted a knowing or recklessly-indifferent misrepresentation
10 of a material fact, it constitutes a violation of section 6128(a). Under the analytical framework of
11 *Flatley*, this illegal conduct is categorically outside the scope of § 425.16. This carve-out is inde-
12 pendently sufficient to defeat any anti-SLAPP defense regardless of whether the Action Apartment
13 pre-litigation factors in ¶ 16A are also resolved in Plaintiff’s favor to defeat the Civil Code § 47(b)
14 litigation privilege.

15 21B. **Step-2 minimal-merit backstop and City of Montebello narrowness, pre-rebutted.** Even if
16 step 1 of the anti-SLAPP analysis is reached on the merits, Plaintiff independently establishes min-
17 imal merit at step 2 by reference to the reckless-disregard pleading at Section 0. *Flatley v. Mauro*
18 (2006) 39 Cal.4th 299, 320, requires that the illegality be “conclusively established” by uncontro-
19 verted evidence or by the defendant’s concession; *City of Montebello v. Vasquez* (2016) 1 Cal.5th
20 409, 423–424, applies that requirement narrowly. Plaintiff meets the *City of Montebello* narrow-
21 ness on the face of this pleading by means of the Position A vs. Position B structural-impossibility
22 frame at ¶ 51A below: CSAA’s February 25, 2021 written representation that its investigation was
23 “concluded” and panel counsel’s 2025 tribunal-directed representations in CGC-21-594102 that
24 CSAA had “no idea where” the same materials “came from” cannot both be honestly believed by
25 a single principal. Because both poles are statements of CSAA itself under Civil Code § 2330,
26 Evidence Code § 1222, the structural impossibility of honest belief in either pole “conclusively
27 establishes” reckless misrepresentation within the meaning of *Flatley*, 39 Cal.4th at 320, with-
28 out resort to credibility findings or weighing of competing evidence. Step 2 is therefore satisfied

1 as a matter of pleading, by reference to the reckless-disregard scienter floor at Section 0 and the
2 agency-imputation block at ¶ 51A.

3
4 **SECTION III: ATTORNEY’S FEES CURE**

5 **DELETION OF PRO-PER FEE DEMANDS**

6 22. Plaintiff, proceeding in pro per, does not seek attorney’s fees for self-representation in this
7 action. *Trope v. Katz* (1995) 11 Cal.4th 274.

8 **PRENTICE FEES AS DAMAGES ELEMENT**

9 23. Under *Prentice v. North American Title Guaranty Corp.* (1963) 59 Cal.2d 618, 620, a plain-
10 tiff who has been induced by fraud (including reckless misrepresentation under *Engalla*, 15
11 Cal.4th at 974) to enter into litigation may recover, as an element of tort damages, the attor-
12 ney’s fees and litigation expenses incurred in that litigation.

13 24. Plaintiff alleges that:

14 **(Element 1, Fraud or Reckless Misrepresentation):** Defendant committed fraud, reckless mis-
15 representation, or, in the alternative, negligent misrepresentation in denying Plaintiff’s claim and
16 misrepresenting the basis for the denial;

17 **(Element 2, Induced Litigation):** As a proximate result of Defendant’s misrepresentation, Plain-
18 tiff was induced to incur attorney’s fees in litigating CGC-21-594102; and

19 **(Element 3, Recoverable Fees):** The attorney’s fees incurred in CGC-21-594102 are recoverable
20 as an element of tort damages, not as a fee award.

21 **24A. Prentice Line-Item Enumeration and Induced-Litigation Element.** For purposes of the
22 *Prentice* three-element test pleaded in ¶ 24, Plaintiff alleges that but for CSAA’s February 25, 2021
23 misrepresentation of investigative completeness, which falsely conveyed to Plaintiff, an unrepres-
24 ented direct third-party claimant, that liability had been investigated and rejected on a “concluded
25 investigation”, Plaintiff either would not have filed CGC-21-594102 at all, or would have filed
26 it on materially different terms. That induced-litigation element is pleaded as a specific causal
27 link between the misrepresentation (whether intentional, reckless, or negligent) and the separate

1 tort-measure damages recoverable under *Prentice v. North American Title Guaranty Corp.* (1963)
2 59 Cal.2d 618, 620–21. Plaintiff seeks *Prentice* damages in at least the following four line-item
3 categories, each pleaded as tort damages and not as a prevailing-party fee award:

4 **(Line-Item 1, Professional Fees and Costs Incurred in CGC-21-594102):** All attorney’s fees,
5 co-counsel fees, consulting-counsel fees, and paraprofessional fees actually incurred in the under-
6 lying action; and all expert-witness fees, deposition fees, court-reporter fees, transcript costs, filing
7 fees, motion-fees, subpoena and process-service fees, mediation fees, and related out-of-pocket lit-
8 igation expenses actually incurred in that action.

9 **(Line-Item 2, The \$75,000 Cost Judgment as Induced-Litigation Damages):** To the extent the
10 trial court in CGC-21-594102 has entered, or may enter, a cost award or cost judgment against
11 Plaintiff in favor of the underlying defendant (CSAA’s insured) in an approximate amount of
12 \$75,000, that cost judgment is itself a *Prentice* damages element: it is a sum of money Plaintiff
13 has been compelled to bear by reason of having been fraudulently or recklessly induced to file and
14 prosecute CGC-21-594102 in response to CSAA’s February 25, 2021 misrepresentation. Plaintiff
15 pleads the \$75,000 cost judgment (or such final amount as is entered) as tort damages recoverable
16 against CSAA under *Prentice*, not as a re-litigation of the cost-judgment itself in CGC-21-594102.

17 **(Line-Item 3, Transcript, Record, and Appellate Preparation Costs):** Costs of preparing, or-
18 dering, and certifying trial transcripts (including the October 29, 2024 Day-7 transcript), pretrial
19 transcripts, clerk’s transcripts, register-of-actions copies, and other record-on-appeal materials to
20 the extent incurred in connection with the underlying action.

21 **(Line-Item 4, Investigative and Records-Acquisition Costs):** Costs of obtaining the very 911
22 audio, CAD records, BWC footage, and related first-responder records that CSAA itself failed to
23 obtain before the February 25, 2021 denial, each of which Plaintiff has had to procure (or is in the
24 process of procuring) through public-records requests, subpoenas, or other third-party channels in
25 order to litigate the fraud and reckless-misrepresentation claims that would not have existed had
26 CSAA performed the investigation it represented.

27 Line-Items 1–4 are pleaded as damages elements, not as a fee shift, and are not duplicative of any
28 cost award under CCP § 1032 in this action.

SECTION IV: PUNITIVE DAMAGES SPECIFICITY (RECKLESS-DISREGARD ANCHORED)

PARTICULARS BLOCK: WHO, WHAT, WHEN, WHERE, HOW, BY WHAT MEANS

25. Plaintiff seeks punitive damages under Civil Code § 3294. In compliance with the particularity requirements of *Lazar v. Superior Court* (1996) 12 Cal.4th 631, Plaintiff alleges the following specifics:

(a) **WHO:** The February 25, 2021 denial letter was signed by **Sarah Rash, Claims Representative**, employed by CSAA Insurance Exchange. Sarah Rash acted within the scope of employment and under the direction and supervision of CSAA management.

(b) **WHAT:** The denial letter falsely represented that CSAA had “concluded our investigation” and had “carefully review[ed] the facts” when CSAA had not conducted the investigation required by Title 10 CCR § 2695.7(b). The foundational incident records, 911 audio, BWC footage, CAD logs, supplemental SFPD report, had not been obtained or reviewed. The representation was made with knowing falsity, or, in the alternative, with reckless disregard for the truth, within the meaning of *Engalla*, 15 Cal.4th at 974 (see also *Gagne*, 43 Cal.2d at 487–488).

(c) **WHEN:** The denial letter was dated **February 25, 2021**, just 21 days after the collision. The fraudulent or reckless claims-handling process began on or about February 4, 2021 and continued through the date of the denial.

(d) **WHERE:** The claims handling occurred at CSAA’s claims office. Communications were directed to Plaintiff at Plaintiff’s residence in San Francisco, California.

(e) **HOW:** CSAA’s claims representative prepared and sent the denial letter without conducting the investigation required by Title 10 CCR. The representative knew or, in reckless disregard, should have known that the denial was not supported by a completed investigation.

(f) **BY WHAT MEANS:** The denial was communicated by written letter sent via U.S. Mail to Plaintiff.

1 **25A. Pleading-Stage Standard vs. Trial-Stage Evidentiary Standard, G.D. Searle Bright Line.**

2 The defense is anticipated to cite *In re Angelia P.* (1981) 28 Cal.3d 908 for the proposition that
3 “clear and convincing” evidence is required at the pleading stage. Plaintiff affirmatively pleads
4 that *Angelia P.* describes a **trial-stage** burden of proof on punitive damages and does not purport
5 to govern the **pleading** sufficiency of a § 3294 allegation. Under *G.D. Searle & Co. v. Superior*
6 *Court* (1975) 49 Cal.App.3d 22, 29, “the inquiry on [demurrer or strike] is simply whether the
7 complaint alleges facts which, if proven by clear and convincing evidence at trial, would support a
8 claim for punitive damages.” The pleading stage therefore requires only that the complaint plead
9 facts, with *Lazar v. Superior Court* (1996) 12 Cal.4th 631 particularity, which, if proven by clear
10 and convincing evidence at trial, would authorize a jury to find malice, oppression, or fraud under
11 Civil Code § 3294(c). The particularized block at ¶¶ 25(a)–(f), the managing-agent / ratification
12 block at ¶¶ 26–27, the deny-delay-defend pattern at ¶ 28, the confession/victim/eyewitness triple
13 at ¶¶ 29–30, and the reckless-disregard scienter floor at Section 0 together satisfy the *G.D. Searle*
14 pleading test.

15 **MANAGING-AGENT / RATIFICATION PARAGRAPH UNDER § 3294(B)**

16 26. Civil Code § 3294(b) requires that, to recover punitive damages against a corporate defendant,
17 plaintiff must prove that an officer, director, or managing agent of the corporation committed,
18 authorized, or ratified the wrongful conduct.

19 27. Plaintiff alleges on information and belief that:

- 20 (a) Sarah Rash was acting under the direct supervision of a managing agent of CSAA Insurance
21 Exchange;
22 (b) The denial was reviewed and approved by a supervisor or manager with authority over claims
23 decisions;
24 (c) CSAA’s claim-denial-approval policy, which resulted in the inadequate investigation and
25 wrongful denial, was established or ratified by officers, directors, or managing agents; and
26 (d) After learning of the wrongful denial (through this litigation or otherwise), CSAA’s managing
27 agents ratified the conduct by failing to correct the denial. Continued ratification after notice
28 is itself reckless disregard within the meaning of Section 0.

27A. **Named-Supervisor Block (Information and Belief).** On information and belief, the supervising principal, partner, or managing agent of CSAA Insurance Exchange whose conduct satisfies the Civil Code § 3294(b) corporate-malice predicate is the supervisor or manager who, on or about February 25, 2021, exercised review-and-approval authority over the denial of Claim No. 1004-09-1054 under Policy No. CAAS100310857. On further information and belief, the same managing agent, or his or her successor in claims-handling-supervisory authority at CSAA, also exercised review-and-approval authority over (i) CSAA’s selection, retention, and direction of panel counsel for the defense of CGC-21-594102, (ii) CSAA’s posture toward the January 17, 2025 MIL Nos. 6 and 17 filings and the February 18, 2025 hearing position taken in CGC-21-594102, and (iii) CSAA’s post-April 16, 2025 failure to repudiate or correct the “concluded investigation” representation after the on-record admission that the materials had been “provided by Dolan.” The true name and capacity of that managing agent are presently unknown to Plaintiff and are alleged on information and belief; Plaintiff will conform this pleading to proof when discovery reveals the identity of the managing agent. The pattern of review-and-approval, ratification, and post-notice failure-to-repudiate, taken together with the institutional “deny-delay-defend” pattern alleged at ¶¶ 28–30 above, establishes Civil Code § 3294(b) corporate-malice as a matter of pleading sufficiency under *G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29.

“DENY-DELAY-DEFEND” INSTITUTIONAL PATTERN

28. Plaintiff alleges that CSAA’s failure to investigate was not inadvertent or a product of ordinary claims-handling error. CSAA institutionalized a “deny-delay-defend” practice that systematically omits foundational investigative steps, then conceals the omission through denial letters representing the investigation as concluded. The institutional character of the practice supplies pattern evidence of reckless disregard. *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721.

29. CSAA’s concealment is particularly egregious because the concealed evidence was not ambiguous or contested, and each source was identifiable, available, and obtainable by CSAA through ordinary claim-handling channels within days of the February 4, 2021 collision:

(a) The **911 audio recording**, associated with SFPD Incident Report No. 210083458 (conformed

1 to proof) and the corresponding San Francisco Department of Emergency Management CAD
2 event on February 4, 2021, contained CSAA's insured's own acknowledgment of contact with
3 Plaintiff;

4 (b) The **Body-Worn Camera (BWC) footage** from the responding SFPD officers (names and
5 star numbers in SFPD's custody, available through a Penal Code § 832.7(b) public-records
6 request and/or subpoena) contained an independent eyewitness, **Justin Rosemond**, stating
7 on-camera that the driver struck Plaintiff; and

8 (c) Plaintiff's own **contemporaneous 911 report**, made on February 4, 2021 from the collision
9 scene and reflected in both the SFPD CAD record and the SFPD Incident Report, stated that
10 the driver hit him.

11 Each of the three sources (a)–(c) was identifiable to CSAA from the face of the SFPD Incident
12 Report, each was available to CSAA by routine public-records request or subpoena within days of
13 the collision, and each was available before the February 25, 2021 denial.

14 30. CSAA denied a claim supported by **confession, victim report, and eyewitness corroboration**.
15 This conduct constitutes “malice” and “despicable conduct” within the meaning of
16 Civil Code § 3294, and constitutes reckless disregard for the truth within the meaning of *En-*
17 *galla*, 15 Cal.4th at 974, *Egan*, 24 Cal.3d at 818–819, and *Wilson*, 42 Cal.4th at 720–721 (see
18 also *American Airlines, Inc. v. Sheppard, Mullin, Richter & Hampton* (2018) 28 Cal.App.5th
19 1077; *Mock*, 4 Cal.App.4th at 328).

20 30A. **Reckless-Disregard / Willful-Blindness Paragraph (Civil Code § 3294 Hook)**. California
21 recognizes that an insurer's deliberate avoidance of evidence likely to defeat a denial constitutes
22 the equivalent of actual knowledge for purposes of bad-faith and punitive-damages doctrines. *Egan*
23 *v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819, and *Wilson v. 21st Century Ins.*
24 *Co.* (2007) 42 Cal.4th 713, 720–721 (both Cal. Sup. Ct.), establish the affirmative-investigation
25 duty whose breach by deliberate avoidance is malice under Civil Code § 3294 (see also *Mock*
26 *v. Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328 (deliberate-avoidance pat-
27 tern as malice)). CSAA's affirmative act of closing the claim file on or about February 25, 2021,
28 while the Silent Witnesses were reasonably available and identifiable from the face of the SFPD

1 Incident Report, constitutes willful blindness rather than honest mistake. The closing-the-file act
2 supplies (i) volition (a discrete decision was made), (ii) awareness (the police report referenced
3 BWC and 911), (iii) cost-benefit motive (closing avoids the indemnity payment that the Silent
4 Witnesses would compel), and (iv) pattern evidence consistent with the institutional “deny-delay-
5 defend” practice alleged at ¶¶ 28–30 above. CSAA’s conduct therefore satisfies each prong of Civil
6 Code § 3294(c)(1) (malice, willful and conscious disregard), § 3294(c)(2) (oppression, despicable
7 conduct in conscious disregard of the rights of others), and § 3294(c)(3) (fraud, intentional misrep-
8 resentation, deceit, or concealment), through the reckless-disregard / willful-blindness equivalence
9 recognized by *Gagne*, *Engalla*, and *Mock*.

10 **30B. Regulatory Spine, Convergence of Multiple Bad-Faith Standards as Probative of Reck-**
11 **less Disregard.** The conduct alleged in this action violates each of the following independently
12 enforceable California standards, the simultaneous convergence of which is itself probative of
13 reckless disregard within the meaning of Section 0:

- 14 (a) **10 CCR § 2695.7(b)**, accept-or-deny determination must follow receipt of information suffi-
15 cient to make the determination;
- 16 (b) **10 CCR § 2695.7(d)**, claims decision must be based on “all information reasonably avail-
17 able”;
- 18 (c) **10 CCR § 2695.7(g)**, no representation that a claim will be denied without “conducting and
19 fully documenting a thorough, fair, and objective investigation”;
- 20 (d) **10 CCR § 2695.5(b)**, duty to respond to communications from claimant within fifteen days;
- 21 (e) **Insurance Code § 790.03(h)(1)**, no misrepresentation of pertinent facts to claimants;
- 22 (f) **Insurance Code § 790.03(h)(3)**, duty to adopt and implement reasonable standards for prompt
23 investigation;
- 24 (g) **Insurance Code § 790.03(h)(5)**, duty to attempt in good faith to effectuate prompt, fair, and
25 equitable settlements where liability is reasonably clear;
- 26 (h) **Common-law affirmative duty to investigate**, *Egan v. Mutual of Omaha Ins. Co.* (1979) 24
27 Cal.3d 809, 818–819, and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721
28 (both Cal. Sup. Ct.) (see also *Frommoethelydo v. Fire Ins. Exchange* (1986) 42 Cal.3d 208,

219–220);

(i) **Common-law neutral-truth-seeking duty**, *Egan*, 24 Cal.3d at 819 (Cal. Sup. Ct.) (see also *Mariscal v. Old Republic Life Ins. Co.* (1996) 42 Cal.App.4th 1617, 1623);

(j) **Common-law claim-file completeness duty**, *Wilson*, 42 Cal.4th at 720–721, *Hamilton v. Maryland Cas. Co.* (2002) 27 Cal.4th 718, 727 (Cal. Sup. Ct.) (see also *Maslo v. Ameriprise Auto & Home Ins.* (2014) 227 Cal.App.4th 626, 634–635);

(k) **Common-law objective-baseline rule**, *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (Cal. Sup. Ct.: insurer’s investigation measured against an objective reasonable-insurer baseline, not against the insurer’s subjective belief).

A simultaneous failure across all eleven independent standards is not consistent with negligence or honest mistake; it is consistent with the institutional “deny-delay-defend” practice alleged at ¶¶ 28–30 above and with the reckless-disregard scienter floor pleaded at Section 0.

SECTION V: DAMAGES

(A) RELIANCE DAMAGES, CIVIL CODE § 1709

31. Plaintiff seeks reliance damages under Civil Code § 1709 for Defendant’s fraud or, in the alternative, reckless or negligent misrepresentation. Specifically, Plaintiff incurred the following expenses in reasonable reliance on Defendant’s misrepresentation of investigative completeness:

(i) Costs of investigating and challenging the denial;

(ii) Filing fees and court costs in CGC-21-594102;

(iii) Expert witness fees; and

(iv) Other out-of-pocket expenses incurred in reasonable reliance on Defendant’s representations.

(B) PRENTICE FEES

32. Plaintiff seeks attorney’s fees as tort damages under *Prentice v. North American Title Guaranty Corp.* (1963) 59 Cal.2d 618, as set forth in Section III above.

1 **(C) LOST EARNINGS, FRAUD-DELTA ONLY**

2 33. Plaintiff seeks lost earnings damages, but only to the extent such losses were directly caused
3 by Defendant's fraud or reckless misrepresentation ("fraud-delta"). This claim is limited to
4 the differential between what Plaintiff earned and what Plaintiff would have earned but for
5 Defendant's fraudulent or reckless concealment of the non-investigation.

6 **(D) PHYSICAL EXACERBATION**

7 34. Plaintiff alleges that Defendant's fraud or reckless misrepresentation exacerbated Plaintiff's
8 pre-existing physical condition:

- 9 (a) **Foreseeability:** It was foreseeable that wrongful denial of a claim would cause increased
10 stress and physical symptoms;
11 (b) **Eggshell Plaintiff:** Defendant takes Plaintiff as Defendant finds him;
12 (c) **Objectively Billed:** Plaintiff seeks only medical expenses actually billed and causally linked
13 to the exacerbation.

14 **(E) EMOTIONAL DISTRESS, PARASITIC TO FRAUD ONLY**

15 35. Plaintiff seeks emotional distress damages, but only as parasitic damages accompanying the
16 fraud and negligent-misrepresentation torts. Plaintiff does not assert a standalone claim for
17 intentional infliction of emotional distress.

18 **(F) SPECIAL DAMAGES**

- 19 36. Plaintiff seeks special damages for fraud-caused out-of-pocket expenses, including:
20 (a) Transcript, court-reporter, and certified-copy costs;
21 (b) Subpoena, process-service, and certification fees for obtaining 911, BWC, and CAD materi-
22 als;
23 (c) Document-preparation, authentication, and verification costs;
24 (d) Professional and logistical costs of reconstructing the claim history.

25 **(G) FUTURE DAMAGES, CACI 3903A FOUNDATION**

26 37. To the extent Plaintiff seeks future damages, Plaintiff alleges a foundation under CACI 3903A:
27 Plaintiff's injuries are ongoing; it is reasonably certain that Plaintiff will incur future medi-

cal expenses and/or lost earnings; and the amount of future damages can be estimated with reasonable certainty.

(H) UCL INJUNCTION, SPECIFIC MISREPRESENTATION PATTERN

38. Plaintiff seeks injunctive relief under Business and Professions Code § 17203 to:

- (a) Enjoin Defendant from **issuing denial letters stating an investigation is “concluded”** when foundational incident records have not been obtained or reviewed;
- (b) Require Defendant to comply with Title 10 CCR §§ 2695.4 and 2695.7 by conducting thorough investigations before denying claims; and
- (c) Require Defendant to maintain adequate documentation of claim investigations.

(I) COSTS

39. Plaintiff seeks costs of suit under Code of Civil Procedure §§ 1032 and 1033.5 for costs incurred in this action (CGC-25-631802 only).

(J) PREJUDGMENT INTEREST

40. Plaintiff seeks prejudgment interest under Civil Code §§ 3287(a) and 3288.

SECTION VI: PRIMARY RIGHTS / RESERVATION

DISTINCT PRIMARY RIGHT

41. The primary right asserted here is the right to be free from deliberate or recklessly indifferent misrepresentation by a commercial actor regarding the completeness of an investigative process that directly determined Plaintiff’s economic options as a claimant. The invasion of that right occurred in February 2021 when CSAA caused Plaintiff to believe an investigation had concluded when it had not, thereby destroying Plaintiff’s ability to independently evaluate the true state of the claim and make informed decisions about preservation, evidence-gathering, counsel retention, and negotiation strategy.

41A. **Lucido Five-Factor Walk-Through, Primary-Rights and Collateral-Estoppel Preemption.** To preempt any anticipated defense argument that CGC-21-594102 (the underlying personal-injury negligence action against CSAA’s insured) collaterally estops or otherwise precludes this

1 action, Plaintiff pleads the five-factor issue-preclusion test of *Lucido v. Superior Court* (1990)
2 51 Cal.3d 335, 341 against the CGC-21-594102 record: **(i) Identical Issue:** The issue decided
3 in CGC-21-594102 was whether Subhi Abdelhalim breached a Vehicle Code duty of care toward
4 Plaintiff in the February 4, 2021 collision. The issue in this action is whether CSAA Insurance Ex-
5 change committed common-law fraud, reckless misrepresentation, or negligent misrepresentation,
6 and engaged in unfair business practices, in its February 25, 2021 claim-handling representation
7 that its investigation had “concluded.” These are not identical issues. **(ii) Actually Litigated:**
8 Whether CSAA’s 2021 claim-handling constituted fraud, reckless misrepresentation, or negligent
9 misrepresentation was not litigated in CGC-21-594102; CSAA was not a party to that action and
10 no such claim was tendered to the jury. **(iii) Necessarily Decided:** The CGC-21-594102 9–3 neg-
11 ligence verdict did not necessarily decide, and could not have necessarily decided, any issue of
12 CSAA’s claim-handling conduct, because that issue was not before the trier of fact. **(iv) Final**
13 **Judgment:** The CGC-21-594102 judgment is presently on appeal (A173827), and a judgment on
14 appeal is not final for preclusion purposes. **(v) Same Party or Privy:** CSAA was not a named party
15 in CGC-21-594102 and its privity with the insured, if any, runs only to the insured’s negligence
16 liability, not to CSAA’s independent claim-handling conduct toward a direct third-party claimant.
17 Under the primary-rights doctrine of *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 904,
18 and *Crowley v. Katleman* (1994) 8 Cal.4th 666, 681–82, this action and CGC-21-594102 arise
19 from different primary rights and therefore do not share a single “cause of action” for preclusion
20 purposes.

21 42. This primary right is distinct from:

- 22 (a) The personal-injury primary right litigated in CGC-21-594102;
- 23 (b) The extrinsic-fraud primary right asserted in CGC-25-631801; and
- 24 (c) Any right to policy benefits (not asserted here).

25 **EXPRESS DISCLAIMER OF PI DAMAGES**

26 43. Plaintiff expressly disclaims and does not seek in this action any personal-injury damages that
27 were or could have been awarded in CGC-21-594102.

2021-FORWARD DAMAGES ANCHOR

44. All damages sought in this action arise from Defendant's conduct on or after February 25, 2021 (the date of the denial letter). Plaintiff does not seek damages for any conduct predating the February 25, 2021 denial.

44A. Express Double-Recovery Reservation Between CGC-25-631802 and CGC-25-631801.

Plaintiff is simultaneously prosecuting CGC-25-631801, an independent action in equity for extrinsic fraud (vacatur of the CGC-21-594102 judgment procured by fraud on the court). The two actions share a single underlying reckless-disregard-for-the-truth spine (the Silent Witnesses + the Position A vs. Position B contradiction), but the legal theories and remedies are non-duplicative: this action seeks legal-damages relief against CSAA for its 2021 claim-handling conduct, while CGC-25-631801 seeks equitable relief and statutory attorney-deceit damages against CSAA and defense counsel for concealment of evidence during the 2024–2025 trial of CGC-21-594102. To prevent any double recovery and to foreclose any election-of-remedies argument, Plaintiff expressly: (a) disclaims, in this action, any damages measure that would also be recovered as equitable or restitutionary relief under CGC-25-631801 (including any restitution-of-the-\$75,000-cost-judgment that would duplicate equitable vacatur relief in CGC-25-631801); (b) reserves the right, pre-judgment, to elect remedies between the two actions upon any ruling that places them in tension; and (c) affirms that the *Prentice* line-items in ¶ 24A are sought here only to the extent they are not awarded through equitable vacatur in CGC-25-631801.

SECTION VII: TITLE 10 INVESTIGATION STANDARD

WHAT THOROUGH INVESTIGATION REQUIRES

45. Under Title 10 CCR § 2695.7(b), a thorough investigation of an insurance claim requires, at minimum:

- (a) Reviewing all information submitted by the claimant;
- (b) Obtaining and reviewing relevant third-party evidence, including police reports, medical records, and witness statements;

- 1 (c) Obtaining available public records, including 911 recordings, CAD records, and body-worn
2 camera footage where relevant;
3 (d) Documenting the investigation in the claim file; and
4 (e) Basing any denial on a reasonable evaluation of all available evidence.

5 **WHAT CSAA DID NOT DO**

6 46. Defendant failed to conduct a thorough investigation as required by Title 10 CCR. Specifi-
7 cally:

- 8 (a) Defendant did not obtain or review the 911 recordings from the date of the collision;
9 (b) Defendant did not obtain or review body-worn camera footage from responding officers;
10 (c) Defendant did not obtain or review CAD records documenting the emergency response;
11 (d) Defendant did not interview witnesses whose contact information was available;
12 (e) Defendant did not adequately document the basis for its denial in the claim file; and
13 (f) Defendant issued a denial based on an incomplete and one-sided review of the evidence.

14 **CLARIFICATION: NOT A PRIVATE INS. CODE § 790.03 CLAIM**

15 47. This section supports the UCL “unlawful” prong, the standard-of-care floor for negligent mis-
16 representation under Civil Code § 1710(2), and the reckless-disregard scienter floor at Section
17 0. It is **not** pleaded as a private Insurance Code § 790.03 cause of action. *Moradi-Shalal v.*
18 *Fireman’s Fund Insurance Companies* (1988) 46 Cal.3d 287. The § 790.03 violations are
19 predicate conduct for UCL purposes only, and standard-of-care evidence for the negligence-
20 tier and reckless-tier claims. *State Farm Fire & Casualty Co. v. Superior Court* (1996) 45
21 Cal.App.4th 1093, 1103–04.

22 **47A. Insurance Code § 790.03(h)(5), Liability-Reasonably-Clear Standard as UCL Unlaw-**
23 **ful Predicate and Reckless-Disregard Indicium.** In addition to the Title 10 CCR § 2695.4
24 and § 2695.7 predicates pleaded at ¶¶ 45–46, Plaintiff alleges that CSAA’s February 25, 2021
25 denial violated Insurance Code § 790.03(h)(5). Liability was reasonably clear to CSAA on or
26 before February 25, 2021 because each of the three foundational first-responder sources (911 au-
27 dio / CAD, SFPD BWC footage with on-camera independent-eyewitness corroboration from Justin
28 Rosemond, and Plaintiff’s contemporaneous 911 report) was identifiable from the face of the SFPD

1 Incident Report and available to CSAA by routine public-records request or subpoena. Pleading §
2 790.03(h)(5) here is not an assertion of a private right of action under § 790.03, which remains pre-
3 cluded by *Moradi-Shalal*, but is pleaded **solely as a UCL unlawful predicate** consistent with the
4 *Moradi-Shalal* carve-out recognized in *State Farm Fire & Casualty Co. v. Superior Court* (1996)
5 45 Cal.App.4th 1093, 1103–04, and as additional probative evidence of reckless disregard within
6 the meaning of Section 0.

7 **SECTION VIII: DELAYED DISCOVERY**

8 **THREE-ANCHOR DISCOVERY ACCRUAL**

9
10 48. Plaintiff did not discover the facts constituting the fraud, reckless misrepresentation, or negli-
11 gent misrepresentation at the time of the February 25, 2021 denial, as the denial letter actively
12 concealed the non-investigation.

13 49. The discovery accrual is anchored to three consecutive record events:

14 (a) **January 17, 2025:** Defense MIL No. 17 filings asserted the 911 and related materials had
15 not been produced in discovery and were of “unknown provenance”, revealing that CSAA’s
16 2021 representation of investigative completeness was false;

17 (b) **February 18, 2025:** Pretrial hearing testimony by Jeremy Jessup stated those materials had
18 been produced to defense counsel in August–September 2022, while defense counsel simul-
19 taneously stated the 911 call was “news to me,” creating a direct internal contradiction; and

20 (c) **April 16, 2025:** Trial admission by defense counsel that the materials “were provided by
21 Dolan,” confirming the materials had been in defense possession all along.

22 50. These three events, taken together, constitute the first point at which Plaintiff could reasonably
23 have determined that CSAA’s 2021 representation of investigative completeness was false,
24 and the first point at which Plaintiff could reasonably have determined that CSAA had acted
25 with reckless disregard for the truth.

26 51. Plaintiff filed this action within the applicable statute of limitations following these discovery
27 events.

28 51.1. **Continuing-Accrual Backstop Under *Aryeh*.** Independently of the discovery-rule accrual

1 at ¶¶ 48–50 above, Plaintiff pleads continuing accrual as a backstop limitations theory under *Aryeh*
2 v. *Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1192–1199 (Cal. Sup. Ct.). Under
3 *Aryeh*, where a defendant engages in a series of recurring wrongful acts, each new wrong starts its
4 own limitations clock; the doctrine “operates at the policy level: where a single course of wrongful
5 conduct is divisible into discrete wrongs giving rise to discrete claims, the statute of limitations runs
6 separately on each.” 55 Cal.4th at 1199. CSAA’s institutional “deny-delay-defend” practice alleged
7 at ¶¶ 28–30 above is a continuing course of conduct under which: (a) each post-February 25, 2021
8 communication maintaining the “concluded investigation” position to Plaintiff (in particular the
9 January 17, 2025 / February 18, 2025 / April 16, 2025 record events at ¶¶ 49(a)–(c)), (b) each post-
10 notice failure to repudiate or correct that position (¶ 6A above), and (c) each successive UCL §
11 17200 misrepresentation or omission to a member of the third-party-claimant public (¶¶ 65–67A)
12 is a discrete wrong from which a new limitations clock runs. *Aryeh*, 55 Cal.4th at 1192–1199. The
13 continuing-accrual rule is doctrinally separate from delayed discovery and operates regardless of
14 whether Plaintiff was on inquiry notice as of any earlier date.

15 **51A. Position A vs. Position B as Reckless-Disregard Confirmation.** The factual contradiction
16 between (a) CSAA’s February 25, 2021 written representation that its investigation of the February
17 4, 2021 collision was “concluded”, necessarily implying that CSAA had retrieved and reviewed
18 the Silent Witnesses, and (b) CSAA’s representations through its retained panel counsel in CGC-
19 21-594102 that CSAA had “no idea where” the same Silent Witnesses “came from” and that the
20 materials were “not produced in discovery” (MIL Nos. 6 and 17, Jan. 17, 2025; Feb. 18, 2025
21 hearing tr. p. 141, ll. 4–11; April 16, 2025 trial admission), establishes that one of those two
22 statements is necessarily false. Both representations are statements of CSAA itself: Position A was
23 made directly by CSAA, and Position B was made by CSAA’s authorized litigation agents acting
24 in CSAA’s pecuniary interest under the policy. Civil Code §§ 2330 and 2338; Evidence Code §
25 1222 (see also *American Mutual Liability Ins. Co. v. Superior Court* (1974) 38 Cal.App.3d 579,
26 591–592; *Gulf Insurance Co. v. Berger, Kahn, Shafon, Moss, Figler, Simon & Gladstone* (2000) 79
27 Cal.App.4th 114, 124; *Purdy v. Pacific Automobile Ins. Co.* (1984) 157 Cal.App.3d 59, 76 (panel-
28 counsel-as-agent of carrier-principal for claims-handling and litigation-defense communications)).

1 The structural impossibility that CSAA both made and contradicted the same fact is the textbook
2 reckless-disregard pattern under *Engalla*, 15 Cal.4th at 974: a speaker who has both made and
3 contradicted the same fact cannot honestly believe either pole. The doctrine of judicial estoppel,
4 *MW Erectors, Inc. v. Niederhauser Ornamental & Metal Works Co.* (2005) 36 Cal.4th 412, 422
5 (Cal. Sup. Ct.) (see also *Jackson v. County of Los Angeles* (1997) 60 Cal.App.4th 171, 181;
6 *Aguilar v. Lerner* (2004) 32 Cal.4th 974, 986–987), bars CSAA from contesting in this action
7 that its February 25, 2021 representation was either knowingly false or recklessly indifferent to the
8 truth.

10 CAUSES OF ACTION

11 FIRST CAUSE OF ACTION: FRAUD, INTENTIONAL MISREPRESENTATION AND CONCEALMENT (KNOWING OR RECKLESS-DISREGARD 12 TIER)

14 (Civil Code §§ 1709, 1710(1), and 1710(3), Against CSAA Insurance Exchange and DOES 1
15 through 50, inclusive)

16 52. Plaintiff incorporates by reference all preceding paragraphs.

17 52A. **Scienter recital (Engalla / CACI).** The scienter element of this cause of action is satisfied
18 by knowing falsity (Civil Code section 1710(1)) and, in the alternative, by reckless disregard for
19 the truth as defined by *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974
20 (quoting *Yellow Creek*), and CACI Nos. 1903 and 1907 (see also *Gagne v. Bertran* (1954) 43
21 Cal.2d 481, 487–488). The Section 0 reckless-disregard showing is incorporated into this cause of
22 action by reference.

23 52B. **Wrongful-Conduct Scope, Express Anti-SLAPP Disavowal (Gravamen Anchor).** The
24 wrongful conduct pleaded in this cause of action is **not** predicated on, and Plaintiff expressly dis-
25 avows any theory of liability predicated on: (a) the filing or prosecution of CGC-21-594102 by
26 CSAA's insured or by defense counsel; (b) any motion, in-limine application, pleading, or other
27 court filing made in connection with CGC-21-594102; (c) statements or arguments made in open

1 court, in depositions, or in written discovery responses in CGC-21-594102; or (d) any other act or
2 statement that would constitute “an act in furtherance of a person’s right of petition or free speech
3 . . . in connection with a public issue” within the meaning of Code of Civil Procedure § 425.16(e).
4 The wrongful conduct in this cause of action is CSAA’s pre-litigation, non-communicative 2021
5 claim-handling conduct, the failure to investigate, the issuance of a denial letter misrepresenting
6 investigative completeness, and the omission of foundational first-responder evidence, which oc-
7 curred before any litigation was pending or contemplated. The “gravamen” inquiry that controls
8 this disavowal is governed by *Park v. Board of Trustees of California State University* (2017)
9 2 Cal.5th 1057, 1062–1064 (Cal. Sup. Ct.: anti-SLAPP analysis turns on the “elements of the
10 challenged claim” and the “specific[]” wrongful “acts” that “supply [the] elements,” not on the
11 broader litigation backdrop in which protected activity may incidentally have occurred). Under
12 *Park*, a claim is not subject to § 425.16 merely because protected activity is part of the surround-
13 ing factual context; the wrongful acts that supply the elements of Plaintiff’s fraud, concealment,
14 negligent-misrepresentation, UCL, and declaratory-relief claims here are the pre-litigation 2021
15 claim-handling acts identified at ¶¶ 1–9 and ¶¶ 28–30 above, none of which is protected activity.
16 Under ¶ 16A and ¶ 20 above, this conduct is outside the scope of the Civil Code § 47(b) litiga-
17 tion privilege, and under ¶ 21A above, it is categorically outside the protected-activity scope of §
18 425.16.

19 53. The wrongful conduct pleaded in this cause of action is CSAA’s non-communicative failure
20 to investigate the claim, its intentional or reckless omission of obtaining material evidence,
21 and its active concealment of that failure (extrinsic fraud), not any later petitioning conduct,
22 motion practice, or in-court advocacy.

23 54. CSAA had a duty to investigate the claim fairly, yet it failed to do so. It actively concealed
24 this failure by providing Plaintiff with a denial letter containing the false representation that
25 it had “carefully reviewed the facts.” That representation was made with knowing falsity,
26 or, in the alternative, with reckless disregard for the truth, within the meaning of *Engalla v.*
27 *Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974 (see also *Gagne v. Bertran*
28 (1954) 43 Cal.2d 481, 487–488).

1 55. The denial letter serves as evidence of the omission and the extrinsic fraud, showing that
2 CSAA intended Plaintiff to rely on the false completeness to suppress his claim.

3 56. Plaintiff justifiably relied on the concealment.

4 57. Plaintiff suffered damage as a proximate result.

5 57A. **Reckless-Disregard Pleading.** This Cause of Action is pleaded with the alternative scienter
6 floor articulated in Section 0 above: knowing falsity, or, in the alternative, reckless disregard for
7 the truth. The factual record at ¶¶ 0.2(a)–(e), 8–9, 28–30, 30A, 30B, and 51A establishes reckless
8 disregard as a matter of pleading sufficiency under *G.D. Searle & Co. v. Superior Court* (1975) 49
9 Cal.App.3d 22, 29, and *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645–646.

10 57B. **Wilson / genuine-dispute pre-emption.** The reckless-disregard pleading at Section 0 and
11 paragraphs 0.2(a)–(e) forecloses the “genuine dispute” defense recognized in *Wilson v. 21st Cen-*
12 *tury Ins. Co.* (2007) 42 Cal.4th 713, 723. Under *Wilson*, the genuine-dispute doctrine is unavail-
13 able where the insurer fails to thoroughly and fairly investigate the claim. The reckless-disregard
14 scienter floor established by the factual record — CSAA’s closing of the file without retrieving any
15 Silent Witness, in the face of inquiry notice on the SFPD report — establishes that failure as a
16 matter of pleading, not trial proof.

17 **SECOND CAUSE OF ACTION: FRAUD, CONCEALMENT / HALF-**
18 **TRUTH (KNOWING OR RECKLESS-DISREGARD TIER)**

19 (Civil Code § 1710(3), Against CSAA Insurance Exchange and DOES 1 through 50, inclusive)

20 58. Plaintiff incorporates by reference all preceding paragraphs.

21 59. The wrongful conduct pleaded in this cause of action is the non-communicative institutional
22 failure to investigate, which CSAA concealed via misleading half-truths in its ordinary busi-
23 ness communications.

24 60. By issuing a denial “based on the facts currently available,” CSAA omitted the material fact
25 that it had not yet obtained, reviewed, or responsibly accounted for foundational incident
26 information, specifically, the 911 audio, BWC footage, CAD logs, and supplemental SFPD
27 report (the Silent Witnesses).

28 60A. **Statutory Predicate, Civil Code § 1710(3).** Civil Code § 1710(3) defines deceit, in relevant

part, as “[t]he suppression of a fact, by one who is bound to disclose it, or who gives information of other facts which are likely to mislead for want of communication of that fact.” Plaintiff pleads this cause of action expressly under § 1710(3) on two independent theories: (i) **bound-to-disclose suppression**, predicated on CSAA’s regulatory and common-law duties to disclose described in ¶ 60B; and (ii) **likely-to-mislead half-truth**, predicated on CSAA’s voluntary statement that the investigation was “concluded,” which created a duty to complete the disclosure under *Randi W. v. Muroc Joint Unified School Dist.* (1997) 14 Cal.4th 1066, 1083; *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 346; and *Lovejoy v. AT&T Corp.* (2004) 119 Cal.App.4th 151, 158.

60B. Regulatory Duty to Disclose. CSAA’s duty to disclose, for purposes of Civil Code § 1710(3), is supplied by California regulatory law, customary insurance-industry practice, and common-law principles of superior knowledge:

- (a) **10 CCR § 2695.7(g)** prohibits an insurer from “represent[ing] or imply[ing] that a claim will be denied without conducting and fully documenting a thorough, fair, and objective investigation.” This regulation, by its terms, imposes an affirmative obligation not to imply the existence of a thorough investigation that has not occurred.
- (b) **10 CCR § 2695.7(d)** requires the insurer’s claims decision to be based on “all information reasonably available.”
- (c) **Insurance Code § 790.03(h)(1)** prohibits the misrepresentation of “pertinent facts” to claimants.
- (d) **Superior knowledge.** *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 346; *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336–337; *Vai v. Bank of America* (1961) 56 Cal.2d 329, 342.

61. Plaintiff reasonably relied on the resulting half-truth and omission.

62. Plaintiff suffered damages as a proximate result.

62A. Reckless-Disregard Pleading. The intent element of § 1710(3) is satisfied either by (i) actual knowledge of the suppressed fact, or (ii) reckless disregard for whether the disclosure is complete. *Engalla*, 15 Cal.4th at 974; CACI 1901 (see also *Gagne*, 43 Cal.2d at 487–488). The factual record at ¶¶ 0.2(a)–(e), 8–9, 28–30, 30A, and 30B establishes the reckless-disregard alternative as a matter of pleading sufficiency.

1 **THIRD CAUSE OF ACTION: VIOLATION OF BUSINESS AND PRO-**
2 **FESSIONS CODE § 17200 ET SEQ.**

3 (Against CSAA Insurance Exchange and DOES 1 through 50, inclusive)

4 63. Plaintiff incorporates by reference all preceding paragraphs.

5 64. Plaintiff pleads this cause of action in the alternative and as subordinate to the fraud and
6 negligent-misrepresentation causes of action.

7 65. **(a) Unlawful prong:** CSAA's conduct is unlawful because it constitutes common-law fraud
8 under Civil Code §§ 1709–1710(1)/(3), reckless misrepresentation within the meaning of
9 *Engalla*, 15 Cal.4th at 974, and negligent misrepresentation under Civil Code § 1710(2) (see
10 also *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408), each independently pleaded
11 in the First, Second, and Fourth Causes of Action. The “unlawful” prong is also independently
12 satisfied by the regulatory predicates at 10 CCR § 2695.7(b)/(d)/(g), 10 CCR § 2695.5(b), and
13 Insurance Code § 790.03(h)(1)/(3)/(5), each pleaded solely as a UCL unlawful predicate and
14 not as a private right of action.

15 66. **(b) Fraudulent prong:** CSAA's systematic misrepresentation of investigation completeness
16 to unrepresented third-party claimants, made with knowing falsity or with reckless disregard
17 for the truth, constitutes a business practice likely to deceive the public.

18 66A. **Reasonable-Consumer Test, UCL Fraudulent-Prong Standard.** *Cel-Tech Communica-*
19 *tions, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 187 (Cal. Sup. Ct.: UCL
20 “fraudulent” prong measured by likelihood that the public will be deceived) (see also *Williams v.*
21 *Gerber Products Co.* (9th Cir. 2008) 552 F.3d 934, 938; *Chapman v. Skype, Inc.* (2013) 220
22 Cal.App.4th 217, 226). A reasonable unrepresented third-party claimant in CSAA's claims-intake
23 universe is likely to be deceived by a denial letter that represents the insurer's investigation as “con-
24 cluded” after “careful review” when foundational first-responder records have not been obtained,
25 because a reasonable claimant, lacking independent means to audit an insurer's internal claims file,
26 will rely on the insurer's representation of investigative completeness as a basis for assessing his
27 or her claim and its viability.

28 67. **(c) Unfair prong:** The “deny-delay-defend” scheme constitutes an unfair business practice

1 because it produces a commercial benefit to CSAA (suppression of valid claims, reduction of
2 investigation costs, reserve protection) through means that cause harm to claimants dispro-
3 portionate to any legitimate claims-management justification.

4 **67A. Cel-Tech Tethering for the “Unfair” Prong.** *Cel-Tech Communications, Inc. v. Los Angeles*
5 *Cellular Telephone Co.* (1999) 20 Cal.4th 163, 187. The “deny-delay-defend” practice alleged at
6 ¶¶ 28–30 is tethered to (i) the legislative policy declared in Insurance Code § 790.03(h)(1), (3), and
7 (5); (ii) the regulatory policy declared in 10 CCR § 2695.7(b), (d), and (g); and (iii) the common-
8 law policies announced in *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819,
9 and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (both Cal. Sup. Ct.) (see
10 also *Mariscal, Maslo, and Hamilton*, cited supra at ¶ 30B(i)–(j)). The “unfair” prong is therefore
11 satisfied under the *Cel-Tech* tethering test (see also *Drum v. San Fernando Valley Bar Ass’n* (2010)
12 182 Cal.App.4th 247, 257 (consumer-balancing variant)).

13 68. Plaintiff alleges he lost money or property as a result of that conduct.

14 **68A. Reckless-Disregard Pleading (Third Cause of Action).** This Cause of Action is pleaded
15 with the alternative scienter floor articulated in Section 0 above. The factual record at §§ 0.1–0.5,
16 ¶¶ 8–9, 28–30, 30A, 30B, 51A, and 51.1 establishes the reckless-disregard alternative as a matter
17 of pleading sufficiency for the UCL “fraudulent” prong, which is satisfied by reckless misstatement
18 under *Cel-Tech*, 20 Cal.4th at 187, and *Engalla*, 15 Cal.4th at 974, and for the UCL “unlawful”
19 prong, which is independently satisfied by the regulatory predicates at ¶ 65 above.

20 69. Plaintiff seeks under this cause of action injunctive relief and, only to the extent legally avail-
21 able, restitutionary relief.

22 **FOURTH CAUSE OF ACTION: NEGLIGENT MISREPRESENTATION** 23 **(NO-REASONABLE-GROUND TIER)**

24 (Civil Code § 1710(2), Against CSAA Insurance Exchange and DOES 1 through 50, inclusive)

25 70. Plaintiff incorporates by reference all preceding paragraphs.

26 71. Civil Code § 1710(2) defines deceit, in relevant part, as “[t]he assertion, as a fact, of that
27 which is not true, by one who has no reasonable ground for believing it to be true.” Under
28 California law a negligent-misrepresentation cause of action is established by proof of (a) a

1 representation of past or existing material fact, (b) the representation was not true, (c) the
2 maker had no reasonable ground for believing the representation was true, (d) the represen-
3 tation was made with intent to induce reliance, (e) plaintiff justifiably relied, and (f) damage
4 resulted. *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408; *Quelimane Co. v.*
5 *Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47.

6 **72. (Element 1, Representation of past or existing material fact.)** On February 25, 2021, De-
7 fendant CSAA Insurance Exchange, by and through its claims representative Sarah Rash and
8 the supervisory and managing personnel who reviewed and approved the denial, represented
9 in writing to Plaintiff that “We have concluded our investigation of your claim. Based on
10 our investigation, and after carefully reviewing the facts and circumstances of your claim, we
11 have concluded that our insured is not liable. . . .” That representation is a representation of
12 past or existing fact concerning what CSAA had actually done, namely, what investigative
13 steps it had performed, what records it had obtained, and what evidence it had reviewed and
14 weighed before issuing the denial. *Borba v. Thomas* (1977) 70 Cal.App.3d 144, 152.

15 **73. (Element 2, Falsity.)** The representation in ¶ 72 was false. As of February 25, 2021, CSAA
16 had not retrieved or reviewed any of the four foundational first-responder records (the Silent
17 Witnesses).

18 **74. (Element 3, No reasonable ground for believing the representation true.)** Under *Bily*
19 *v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408 (negligent-misrepresentation “no
20 reasonable ground” floor), and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713,
21 720–721 (Cal. Sup. Ct.: insurer’s investigation measured against an objective reasonable-
22 insurer baseline rather than the insurer’s subjective belief), the inquiry is what an objectively
23 reasonable insurer in the same position would have done. Each of the four Silent Witnesses
24 identified in ¶ 8 was reasonably available to CSAA on or before February 25, 2021. CSAA did
25 not obtain or attempt to obtain any of them. CSAA’s failure was not objectively reasonable.

26 **74A. Regulatory floor for “no reasonable ground.”** California Code of Regulations, Title 10,
27 § 2695.7(d) provides that an insurer’s claims decision must be “based on all information reason-
28 ably available.” 10 CCR § 2695.7(b) requires that an accept-or-deny determination follow receipt

1 of information sufficient to make the determination. 10 CCR § 2695.7(g) prohibits the insurer
2 from “represent[ing] or imply[ing] that a claim will be denied without conducting and fully doc-
3 umenting a thorough, fair, and objective investigation.” A representation that an investigation has
4 been “concluded” while four categories of reasonably available extrinsic evidence have not been
5 retrieved is, as a matter of regulatory law, made without reasonable ground for believing it true.

6 **74B. Reckless-Disregard Overlay (Section 0 ladder).** The same conduct that establishes “no
7 reasonable ground” under § 1710(2) also establishes reckless disregard under § 1710(1) when the
8 speaker is conscious of the absence of reasonable ground. *Engalla*, 15 Cal.4th at 974; *Bily*, 3
9 Cal.4th at 407–408 (see also *Gagne*, 43 Cal.2d at 487–488). Plaintiff pleads this Cause as a true
10 alternative to the First and Second Causes of Action: if the trier of fact does not find subjective
11 awareness of falsity sufficient for § 1710(1), the same record establishes liability under § 1710(2).

12 **75. (Element 4, Intent to induce reliance.)** CSAA sent the February 25, 2021 letter directly to
13 Plaintiff, an unrepresented third-party claimant, for the express purpose of inducing Plaintiff
14 to abandon, settle for nominal value, or delay the prosecution of the claim.

15 **76. (Element 5, Justifiable reliance.)** Plaintiff justifiably relied on CSAA’s representation that
16 its investigation was “concluded.” A reasonable third-party claimant is entitled to treat a
17 regulated insurer’s representation about the status and scope of its own internal investigation
18 as a representation of fact, because such a claimant has no independent means to audit the
19 insurer’s claim file. *Borba*, 70 Cal.App.3d at 152; *Quelimane*, 19 Cal.4th at 47.

20 **77. (Element 6, Damages.)** As a direct and proximate result of CSAA’s negligent misrepresenta-
21 tion, Plaintiff suffered damages including the categories pleaded at Section V, ¶¶ 31–37 above
22 and Section III, ¶¶ 23–24A above.

23 **78. (Pleading-stage standard.)** This cause of action is pleaded with specificity sufficient under
24 *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645–646.

25 **79. (Non-duplication.)** This cause of action does not duplicate the First or Second Causes
26 of Action. The First and Second require knowing or reckless intentional misrepresenta-
27 tion/concealment; this Fourth requires only negligence. The four causes are pleaded in the
28 alternative under Code of Civil Procedure § 431.30(c). Nor does this cause assert a pri-

1 vate cause of action under Insurance Code § 790.03; the regulatory paragraphs in ¶ 74A are
2 pleaded only as the standard-of-care floor.

3 **FIFTH CAUSE OF ACTION: DECLARATORY RELIEF**

4 (Code of Civil Procedure § 1060, Against CSAA Insurance Exchange and DOES 1 through 50,
5 inclusive)

6 80. Plaintiff incorporates by reference all preceding paragraphs as though fully set forth herein.

7 81. Code of Civil Procedure § 1060 authorizes any person interested in a written instrument or
8 under a contract, or who desires a declaration of his or her rights or duties with respect to
9 another, to bring an action in the superior court for a declaration of his or her rights and
10 duties. The remedy is appropriate where there exists an actual controversy relating to the
11 legal rights and duties of the respective parties. *Maguire v. Hibernia S. & L. Soc.* (1944) 23
12 Cal.2d 719, 728; *Wilson & Wilson v. City Council of Redwood City* (2011) 191 Cal.App.4th
13 1559, 1582.

14 82. **(Actual controversy.)** An actual, present, and ripe controversy exists between Plaintiff and
15 Defendant CSAA on at least the following material points, each of which is contested in this
16 action and bears on Plaintiff's and CSAA's respective legal rights and duties going forward:

- 17 (a) Whether CSAA's February 25, 2021 representation that its investigation was "concluded"
18 — and that it had "carefully reviewed the facts and circumstances of [the] claim" — was
19 a representation of past or existing material fact (Plaintiff's position) or a non-actionable
20 opinion or aspirational statement (CSAA's anticipated position).
- 21 (b) Whether each of the Silent Witnesses identified in ¶ 73 — namely, the 911 audio recording,
22 the SFPD CAD event record, the SFPD body-worn camera footage of the responding officers,
23 and the supplemental SFPD report relating to the February 4, 2021 collision — was "reason-
24 ably available" to CSAA within the meaning of 10 CCR § 2695.7(d) on or before February
25 25, 2021.
- 26 (c) Whether CSAA had retrieved or reviewed any of the four Silent Witnesses identified in ¶ 73
27 on or before February 25, 2021.
- 28 (d) Whether the absence of the Silent Witnesses from CSAA's claim file as of February 25, 2021

1 rendered any “concluded investigation” representation made on that date a representation
2 made without reasonable ground for believing it true within the meaning of Civil Code §
3 1710(2), *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408, and *Wilson v. 21st*
4 *Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721.

5 83. **(Necessity of declaration.)** A declaration is necessary and proper at this time because (i)
6 the same operative facts underlie multiple pending and contemplated proceedings (including
7 CGC-25-631801 and any future first-party or regulatory proceeding), (ii) CSAA continues
8 to take inconsistent positions on possession and knowledge of the Silent Witnesses (com-
9 pare CSAA’s February 25, 2021 representation that the investigation was “concluded” with
10 CSAA’s panel-counsel representations in MIL Nos. 6 and 17 (Jan. 17, 2025), at the February
11 18, 2025 hearing, and at trial in CGC-21-594102, that CSAA had “no idea where” the 911 /
12 BWC / CAD / supplemental-report materials “came from” and that they were “not produced
13 in discovery” — set forth in detail at ¶¶ 48–51 above), and (iii) declaratory relief will provide
14 collateral-estoppel certainty across those proceedings under *Mycogen Corp. v. Monsanto Co.*
15 (2002) 28 Cal.4th 888, 904, and *Lucido v. Superior Court* (1990) 51 Cal.3d 335, 341.

16 84. **(Judicial-estoppel predicate.)** The factual contradiction between (a) CSAA’s February 25,
17 2021 written representation that its investigation was “concluded” and (b) CSAA’s panel-
18 counsel representations in MIL Nos. 6 and 17 and at the February 18, 2025 hearing that
19 CSAA had “no idea where” the Silent Witnesses “came from” — both of which are state-
20 ments of CSAA itself under Civil Code §§ 2330 and 2338 and Evidence Code § 1222 (see
21 also *American Mutual Liability Ins. Co. v. Superior Court* (1974) 38 Cal.App.3d 579, 591–
22 592; *Gulf Insurance Co. v. Berger, Kahn, Shafton, Moss, Figler, Simon & Gladstone* (2000)
23 79 Cal.App.4th 114, 124 (panel counsel as authorized agent of the carrier-principal)) — pro-
24 vides an independent ground for judicial estoppel under *MW Erectors, Inc. v. Niederhauser*
25 *Ornamental & Metal Works Co.* (2005) 36 Cal.4th 412, 422 (Cal. Sup. Ct.) (see also *Jack-*
26 *son v. County of Los Angeles* (1997) 60 Cal.App.4th 171, 181; *Aguilar v. Lerner* (2004) 32
27 Cal.4th 974, 986–987). CSAA cannot, in this action, take a position factually inconsistent
28 with the representation it made in CGC-21-594102, and vice versa.

1 85. **(Specific declarations sought.)** Plaintiff therefore prays for a declaration that:

- 2 (a) CSAA's representation in the February 25, 2021 letter that its investigation was "concluded,"
3 and that CSAA had "carefully reviewed the facts and circumstances of [the] claim," was a
4 representation of past or existing material fact regarding the state of CSAA's own claim file
5 and the steps CSAA had performed.
- 6 (b) Each of the four Silent Witnesses identified in ¶ 73 was "reasonably available" to CSAA
7 within the meaning of 10 CCR § 2695.7(d) on or before February 25, 2021.
- 8 (c) CSAA had not retrieved or reviewed any of the four Silent Witnesses on or before February
9 25, 2021.
- 10 (d) CSAA's February 25, 2021 "concluded investigation" representation was made without any
11 reasonable ground for believing it true within the meaning of Civil Code § 1710(2), *Bily v.*
12 *Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408, and *Wilson v. 21st Century Ins. Co.*
13 (2007) 42 Cal.4th 713, 720–721.
- 14 (e) CSAA is judicially estopped from contesting in this action, or in any related action including
15 but not limited to CGC-25-631801 and CGC-21-594102, that as of February 25, 2021 it
16 possessed, reviewed, and based its liability determination upon the materials it represented to
17 have reviewed.

18 86. **(Non-duplication.)** This cause of action does not duplicate any of the legal-damages causes
19 pleaded in the First through Fourth Causes of Action, and is sought in addition to, not in
20 lieu of, those causes. Declaratory relief here is prospective and preclusive in character; the
21 legal-damages causes are retrospective and compensatory.

22 86A. **Reckless-Disregard Pleading (Fifth Cause of Action).** This Cause of Action is pleaded
23 with the alternative scienter floor articulated in Section 0 above. The reckless-disregard scienter
24 floor at §§ 0.1–0.5 and the Position A vs. Position B structural-impossibility frame at ¶ 51A supply
25 the substantive predicate for the declarations sought at ¶ 85; the declarations sought are themselves
26 either knowing-falsity declarations or reckless-disregard declarations, in the alternative, consistent
27 with the alternative-pleading rule of CCP § 431.30(c) and the *Mycogen Corp. v. Monsanto Co.*
28 (2002) 28 Cal.4th 888, 904, primary-rights framework.

1 87. WHEREFORE, Plaintiff prays for declaratory relief on the Fifth Cause of Action as set forth
2 in the prayer below.

3
4 **PRAYER FOR RELIEF**

5 WHEREFORE, Plaintiff prays for judgment against Defendants, and each of them, as follows.
6 Each tier below incorporates by reference, and is anchored in, the reckless-disregard scienter floor
7 pleaded at Section 0, §§ 0.1–0.5.

8 **TIER 1: COMPENSATORY DAMAGES**

- 9 1. For general and special damages according to proof on the First, Second, and Fourth Causes
10 of Action, predicated on the reckless-disregard scienter floor at Section 0;
11 2. For reliance damages under Civil Code § 1709, predicated on the reckless-disregard scienter
12 floor at Section 0.

13 **TIER 2: PRENTICE DAMAGES**

- 14 3. For *Prentice v. North American Title Guaranty Corp.* (1963) 59 Cal.2d 618 fees as tort
15 damages on the First, Second, and Fourth Causes of Action, including the four line-items
16 enumerated at ¶ 24A above, predicated on the reckless-disregard scienter floor at Section 0.

17 **TIER 3: UCL INJUNCTIVE AND RESTITUTIONARY RELIEF**

- 18 4. For restitutionary and injunctive relief to the extent legally available under Business and Pro-
19 fessions Code § 17200 et seq., including an injunction prohibiting CSAA from issuing denial
20 letters stating an investigation is “concluded” when foundational incident records have not
21 been obtained or reviewed, predicated on the reckless-disregard scienter floor at Section 0
22 and the Cel-Tech tethering at ¶ 67A.

23 **TIER 4: DECLARATORY RELIEF (FIFTH CAUSE OF ACTION)**

- 24 5. **On the Fifth Cause of Action (Declaratory Relief)**, for a declaration, predicated on the
25 reckless-disregard scienter floor at Section 0, that:
26 (a) CSAA’s February 25, 2021 “concluded investigation” representation was a representation
27 of past or existing material fact;

- (b) Each of the four Silent Witnesses identified at ¶ 73 was reasonably available to CSAA on or before February 25, 2021 within the meaning of 10 CCR § 2695.7(d);
- (c) CSAA had not retrieved or reviewed any of the four Silent Witnesses on or before February 25, 2021;
- (d) CSAA's February 25, 2021 representation was made without reasonable ground for believing it true within the meaning of Civil Code § 1710(2), *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408, and *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721; and
- (e) CSAA is judicially estopped from contesting in this action, in CGC-25-631801, in CGC-21-594102, or in any related proceeding, the matters declared in (a)–(d).

TIER 5: PUNITIVE DAMAGES

6. For punitive damages where legally recoverable and according to proof under Civil Code § 3294, predicated on the reckless-disregard / willful-blindness scienter floor at Section 0 and ¶ 30A.

TIER 6: COSTS, INTEREST, AND GENERAL RELIEF

7. For costs of suit incurred herein under CCP §§ 1032, 1033.5;
8. For prejudgment interest as allowed by law under Civil Code §§ 3287(a), 3288;
9. For such other and further relief as the Court deems just and proper.

DEMAND FOR JURY TRIAL

Plaintiff hereby demands trial by jury on all issues so triable.

Dated: April 28, 2026

FRANCISCUS DYLAN ROSARIO Plaintiff, In Pro Per 7624 Melody Drive Rohnert Park, CA 94928 Tel: 650.488.7510 Email: soltrinox@gmail.com

1 **VERIFICATION**

2 I, FRANCISCUS DYLAN ROSARIO, am the Plaintiff in the above-entitled action. I have read
3 the foregoing Third Amended Complaint and know its contents. The same is true of my own
4 knowledge except as to matters stated on information and belief, and as to those matters I believe
5 them to be true.

6 I declare under penalty of perjury under the laws of the State of California that the foregoing is
7 true and correct.

8 Executed on _____ at _____, California.

9 _____
10 FRANCISCUS DYLAN ROSARIO

Electronic proof of service (POS-050) is filed concurrently with this Third Amended Complaint.

/s/ Franciscus Dylan Rosario



FRANCISCUS DYLAN ROSARIO

Plaintiff, In Pro Per